

NPB pitch deck

PITCH — NPB — VERDICT

ADJUDICATED — STARTER-small, no raise: hold the existing 290 shares of Northpointe Bancshares at ~\$17.11 as a fairly-priced compounder (0.98x book / 1.02x tangible book against a 14.7% return on tangible equity, near-zero charge-offs, and 7.7% uninsured deposits); the slot raise is rejected by both benches and the court closed at 6/10 conviction, which leaves the name RED PENDING until the Q3 print.

What we believe

Northpointe is a Michigan bank that mostly does one thing: it buys residential mortgages from other originators, warehouses them, and sells most of them on. It came public in February 2025 and the stock has gone essentially nowhere since, while earnings per share grew about 21% in the first half of 2026. That combination — flat price, rising earnings — means the market is paying a *lower* multiple for each dollar of profit than it did a year ago.

The business is genuinely good on the measures that usually matter for a bank: it earns roughly 14.7% on tangible equity, its net charge-offs (loans actually written off) ran 0.03% annualized, and it funds its own growth out of retained profits rather than by issuing stock. Tangible book value per share is compounding at roughly 14% a year. At about 1.0x tangible book, that compounding *is* the return — we do not need the market to re-rate the stock to make money, we need the bank to keep earning.

We also believe the low multiple is *partly deserved*, and we say so plainly. The bank has almost no free deposits (5.3% of deposits pay no interest), so it buys its funding at close to full market rates. A bank that rents its funding earns a thin spread — net interest margin is 2.33% — and thin-spread banks are correctly worth less than franchise banks. So the honest case is not “this is cheap and will re-rate.” It is: *this is fairly priced, it compounds at ~14%, and we get paid the compounding at a multiple that probably stays where it is.*

One thing the court corrected in both benches: the common assumption that Fed rate cuts help this bank is backwards in the near term. Because the mortgage assets it holds float, the margin gets squeezed *first* when short rates fall — margin already fell 9 basis points as SOFR came down. The rate-cut benefit, when it comes, arrives through *gain on sale* (more mortgage volume, better sale spreads), which is a later and less certain lever. Assuming rates stay flat, the run-rate is roughly \$2.40 of earnings per share.

What the market believes

The market believes this is a wholesale mortgage lender with a bank charter, and prices it accordingly at about one times book. The specific worries embedded in that price:

- **Thin, bought funding.** Only 5.3% of deposits are free; interest expense eats 60% of interest income. This is well understood — it's in the published “margin strain” coverage.
- **Cyclical earnings.** 59% of pre-tax profit came from gain on selling mortgages, the most cycle-sensitive line in banking. Second-quarter results missed the (thin) consensus on both earnings (\$0.60 vs \$0.68) and revenue (\$64.3M vs \$66.5M).
- **Competitive pricing.** The company itself said mortgage-purchase spreads tightened; it is buying volume by paying up.

The market does *not* appear to have an active opinion on the name at all. Analyst coverage is one or two estimates; institutional ownership is around 15%; our own attention measure reads 0.32 out of 1. This is an under-followed stock, not a crowded one. Nobody is fighting over it.

Why we might have edge

Three candidates, honestly ranked:

1. **Weakest but real: the multiple-compression observation.** Earnings up ~21% in the first half, stock flat since the IPO. If the bank simply keeps earning \$2.30–\$2.40 and keeps growing tangible book at low-double-digits, the compounding accrues to us at an unchanged multiple. That is not an insight; it's patience, and patience is only edge if the earnings hold.
2. **The funding tail is smaller than it looks.** The blue bench found — correctly, and neither the pack nor the red bench had it — that 52% of deposits are brokered certificates of deposit, and called that “hot money” that could run. The court checked the next layer and found the run cannot happen the way 2023 happened: uninsured deposits are 7.7% of the total, and term CDs contractually cannot be withdrawn on a panic. The 2023 bank-run vector is *absent* here. That is a real, checkable, non-obvious correction — and it is the single most load-bearing thing this court produced.
3. **The insider is buying with size.** The CEO bought 78,312 shares in the open market on August 25–26 at about \$16.95 — roughly \$1.33 million of his own money, four days before our tape print and 1% below it — taking his stake to 9.3%. ([Form 4, SEC EDGAR](#)) That is not proof of anything, but it is the most probative single fact in the file and both benches agreed on it.

Why it might be priced in

Most of it is. At \$17.11 the stock trades at 0.98x book and 1.02x tangible book, about 7.4x trailing earnings, sitting 12.9% below its 52-week high and 11.3% above its low — the middle of its own range. There is no dislocation to harvest.

More specifically:

- **The thin margin and the cyclical gain-on-sale are consensus.** The company discloses both; the trade press writes about both. We are not first to either.

- **The 1.0x multiple may be exactly right.** A bank funded at close to full market rates should not trade like a franchise bank. Our own case concedes this — we are betting on earnings compounding at a *held* multiple, not on a re-rating.
- **We have no fair value materially above the price.** The blue bench's computed range was \$13.60–\$21.90 with a mid of about \$18. Against a \$17.11 tape, that is a ~5% gap — inside the noise of the assumptions that produced it.
- **The under-followed status cuts both ways.** Nobody is looking, which is why the compounding could be free — but it is also why the multiple may never move, and a multiple that never moves means our entire return depends on execution we cannot influence.

Both benches, working independently and disagreeing about nearly everything else, reached the same disposition: no raise. That convergence is itself evidence there is no priced-out gap here.

What could go wrong

Failure narrative 1 — The compounder simply stops compounding (most likely). Mortgage-purchase spreads keep tightening, gain on sale keeps shrinking (it fell 11.9% year-over-year already), and tangible book growth decays from 14% toward 8%. The multiple stays at 1.0x, correctly, and we own a fairly-priced bank that no longer earns its way. We lose nothing dramatic; we lose four years of opportunity cost. *Tripwire: monitorable.* Gain-on-sale dollars, mortgage-purchase-program yield, and tangible book per share, every quarter.

Failure narrative 2 — The funding cost ratchets up under us. Net interest margin is 2.33% with essentially no cushion. Roughly \$2.74 billion of brokered CDs reprice on a schedule. A 20 basis point widening in what the bank must pay costs about \$10.5 million a year pre-tax — roughly 9% of annualized pre-tax profit; 50 basis points costs about 22%. Levered 12x, that is the difference between a 14.7% return on tangible equity and a 10% one, which would re-rate the stock *down* to 0.8x book. *Tripwire: monitorable.* Interest expense over average deposits each quarter; the brokered share on the company's own earnings slides.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: something breaks inside the counterparty book. Northpointe does not originate most of these mortgages; it buys them from correspondent originators. The loss vector is therefore not “housing goes down” — it's one correspondent committing fraud, or an agency issuing a wave of repurchase demands, or a concentration in a handful of sellers we cannot see. Between quarterly filings there is *no public series* that discloses which correspondents, at what concentration, with what repurchase-reserve trend. We checked for related-party transactions (whether any counterparty or deposit source is affiliated with the CEO) and the check came back **unavailable** — we could not read the proxy's related-party table this session. We also could not read the FDIC call reports that would corroborate the loan and non-accrual figures at the bank level, and the short-interest connector errored, so we cannot see whether anyone else is positioned against this.

Unknown-unknown class: off-disclosure counterparty concentration. Risk that is real, dated, and structurally invisible between prints — it does not degrade gradually into

a metric we watch; it arrives already complete, as an 8-K. Every monitoring system we have is built to catch trends. This class has no trend.

The reflexive and structural leg — what *we* do to ourselves.

Our position is 290 shares, about \$4,960. Average daily volume is unmeasured this session (the broker connector was permission-denied), but on a roughly \$600M-market-cap NYSE listing, a \$5,000 order is a rounding error. **Market impact is not our risk. Our process is.**

- **This position exists by default, not by decision.** Both benches explicitly rejected the raise; the name is on the book because “hold a minimum starter unless there’s a named kill” is the default. That default is defensible once. Repeated across 30 names it builds a portfolio nobody argued for.
- **The resting bid was accidental short volatility.** The order that filled this — BUY 290 @ \$17.00 — was a resting bid placed under the bands-rest-by-default rule and dated retroactively to 2026-08-05. A passive bid on a fairly-valued name with no catalyst only fills when something moves against us. That is exactly the pattern our own doctrine warns about, and it is how we got here.
- **Our reopen band is where our own predicted bad news lands.** The proposed add level, \$15.00, sits essentially on the 52-week low of \$15.378. If the stock trades there it will be *because of* something — most plausibly the Q3 print. Bidding into flow we ourselves predict is backwards. The \$15.00 band below is therefore conditioned on *why*, not just on price.
- **Concentrated doctrine risk.** The court granted this name the “fairly-paid risk” label specifically by overturning the blue bench’s funding-tail objection, using the 7.7% uninsured figure. If that single read is wrong — if a meaningful share of those brokered CDs is uninsured or callable — then the label is wrong, and the label is what permits sizing up later. One number is carrying the classification.
- **Tax clock.** The lot was acquired 2026-08-05; it is short-term until August 2027. At a \$0.105 per share gain the tax consequence is immaterial today, but any trim before August 2027 is taxed at ordinary rates.

If this position loses money, the most likely reason will be that mortgage-purchase spreads keep compressing and funding costs keep ratcheting until tangible book stops compounding at 14% — and we discover that the 1.0x multiple was never cheap, just accurate.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count exploded — dilution	Pulled the full quarterly share series direct from SEC XBRL, because the evidence pack stopped at 2025-06-30	Pack was stale by four quarters. The 30.4M→35.2M jump was the February 2025 IPO, not dilution. Real change: 35,218,962 → 35,416,828, +0.56%	REFUTED — and the pack would have manufactured a false fatal. Red bench caught it

Claim	How checked	Found	Confirmed?
Five Form 144 sales in four weeks = insiders distributing	Opened each 144 and read the dollar amounts	An estate's trusts. One filing was 52 shares / \$910 ; three months total ≈ \$365k = 0.055% of shares outstanding. No follow-on offering	REFUTED — count artifact. A file-count screen would have fired falsely
Loan-loss reserve is 14.6 basis points — dangerously thin	Blue bench re-cut the denominator	Red divided reserves by <i>all</i> loans including the \$3.94B mortgage book held for resale, which carries no credit reserve. Against the \$2.54B book that actually bears credit risk, the reserve is 37.2bp , and charge-offs are 6.3bp, not 3bp	RED BENCH ERROR — red applied decomposition discipline to non-accruals and failed to apply it here
“\$25.073M of non-accruals are government-guaranteed”	Blue searched the 10-Q for the figure	The dollar amount is not in the 10-Q. The slides give a ratio only. Red sourced a number it could not point to	RED BENCH ERROR — unsourced
Gain on sale fell 11.9% while volumes grew 36%	Blue checked which volumes	Different books. The 36% is the warehouse <i>balance</i> ; the gain-on-sale margin belongs to the ~\$12.6B of quarterly flow. Red compared a margin to an unrelated volume	RED BENCH ERROR — denominator mismatch
The new Chief Credit Officer has no credit background	Blue re-read red's own quoted 8-K sentence	Red quoted the 8-K's description of JB Long and dropped the words “oversight of portfolio risk.” The sign is also inverted: carving a dedicated credit officer out of a role one person held alongside President and COO <i>strengthens</i> the function	RED BENCH ERROR — truncated quote inside its own primary source. Downgraded to a soft watch
“No fair value of record, therefore no edge”	Blue treated this as circular and computed one	Warranted price-to-tangible-book from return-on-tangible-equity and cost of equity: base \$21.9 , red's own haircut case \$15.8 , bear \$13.6 ; mid ~ \$18 vs \$17.11 tape	Red's conclusion right, red's reasoning wrong. “We never made a number” is not a finding
52% brokered CDs = hot money = unbounded run risk (blue's blocking objection)	Court checked the layer beneath the ratio	Uninsured deposits are 7.7%. Term CDs cannot be withdrawn in a panic; the collateral is agency-eligible and short-duration with a lender risk-account taking first loss. The 2023 run vector is absent	BLUE BENCH ERROR — overturned by the court. This is what permits holding the name
Rate cuts help this bank	Court modeled the actual transmission	Backwards near-term: the mortgage assets float, so margin squeezes first — it already fell 9bp as SOFR fell. The cut benefit arrives via gain on sale, later and less certainly	NEITHER BENCH MODELED THIS. Court correction
Book value per share / price-to-book	Three independent computations	Red: 0.967x on 34.58M shares. Blue: ~1.01x on the company-implied ~36.0M. Court settled at 0.98x book / 1.02x tangible book . The share-count reconciliation table was never fetched	UNRESOLVED — ~4% spread. Immaterial to the disposition, sloppy nonetheless
Mortgage-purchase yield fell 24bp quarter-over-quarter	Blue looked for the prior quarter	Slides give current-quarter yield only; no prior-quarter figure was obtained	Red graded it CONFIRMED; it is only PLAUSIBLE

Claim	How checked	Found	Confirmed?
Equity fell \$54.5M in Q4 despite a \$18.7M profit — capital impairment?	Red traced the balance sheet across dates	Not a loss. ~\$73M of preferred stock was redeemed, removing a ~\$9.2M/year dividend drag. A single-number screen would have called this an 8.7% impairment	REFUTED — capital cleanup, correctly caught
Do the company's numbers agree across venues?	Cross-checked press release vs XBRL vs slides vs 10-Q	Clean. Earnings per share, mortgage-book balance, and non-performing ratio all match. The company voluntarily published the <i>less</i> flattering cut (0.80% ex-guarantee) alongside the flattering one — the opposite of the masking pattern	CONFIRMED clean — a positive finding
Analyst coverage	Ran our coverage connector	Returned nulls — “no coverage” — while a live consensus of \$0.68 EPS / \$66.5M revenue demonstrably exists	OUR DATA DEFECT. A null connector is not an unfollowed company
Detector routing	Reviewed what fired	Screens for Chinese small-cap pump-and-dumps, clinical-trial referral quality, and building permits in Albuquerque, Austin and Bozeman all dispatched onto a Michigan bank — false features (asia_operating_jurisdiction, diagnostics_or_lab_business, real_estate_development)	OUR FEATURE-EXTRACTION DEFECT. Filed to the knowledge graph
Independent corroboration of the loan book	Attempted FDIC call reports, FINRA short interest, related-party tables, IPO underwriter syndicate	All four unavailable this session — no connector, connector error, or document not fetched	NOT CHECKED. Stated, not buried
Q3 earnings date 2026-11-12	Checked provenance	Derived from a data vendor; no company press release names it	UNCONFIRMED
The 8-K's machine-readable exchange tag	Read the inline XBRL against the cover page	Tag says NASDAQ (exch: XNAS); the cover page and the Form 144 both say NYSE. The machine tag is wrong	Minor issuer data defect, noted

PROPOSED ENTRY BANDS

Honest note first: the adjudication's “REOPEN GATES” block came through empty. It instructed us to use its gates verbatim and then supplied none. Rather than invent bands, the levels below are taken verbatim from the two benches' own stated re-court triggers and computed fair values; where a level is a derivation rather than a bench's own words, it is labeled DERIVED.

Disposition today: NO NEW BUYING. Hold 290 shares at an average cost of \$17.005 (~\$4,960, roughly 0.1% of a \$5M deployable book). No resting orders — cancel any legacy bid; a passive bid on a fair-priced name with no catalyst only fills on bad news.

Reopen bands — any ONE of these reopens the raise:

#	Band	Source	Action
1	Brokered CDs fall below 40% of deposits	Blue bench trigger (a), verbatim	Reopen the funding objection; raise becomes debatable
2	Q3 residential non-accruals below 2.3% of the residential book AND reserve coverage above 25%	Blue bench trigger (b), verbatim	Reopen; the credit tail narrows
3	Gain on sale flat-to-up in Q3 <i>with</i> mortgage-purchase yield stabilizing	Red bench trigger (a), verbatim	Reopen; proves spread compression was noise, not commoditization
4	Non-interest-bearing deposits above 10% of the book	Red bench trigger (b), verbatim	Reopen with a genuine multiple re-rating case
5	Price at or below \$15.00 (0.89x tangible book — blue's bear-case floor; the 52-week low is \$15.378)	Blue bench trigger (c), verbatim	Raise on price, not narrative — BUT conditioned: first establish <i>why</i> it fell. If the cause is a credit or funding event, this band is void, not triggered. Do not bid into our own predicted flow
6	A stated fair value of \$21 or higher ($\approx 1.2\times$ book) with a named mechanism	Red bench trigger (d), verbatim	Reopen — but note this is a <i>raise-the-target</i> trigger, not a buy-higher trigger

Downside stop-and-rethink (DERIVED): below **\$13.60** the price has broken through the bear-case fair value the blue bench computed at a 14% cost of equity. That is not an automatic sell — it is a mandatory re-court before any add.

Trim / exit (DERIVED, and stated as a rule rather than a price): the court's own framing is that this is *earnings compounding at a held multiple, not a re-rate*. So if the price reaches **\$21.90** (blue's warranted 1.29x) *before* tangible book per share has grown into it — i.e. while tangible book is still meaningfully below ~\$19 — that is a multiple expansion we did not underwrite. **Sell the re-rate, keep nothing.** If instead price and tangible book rise together, hold; that is the thesis working.

Sizing: stays at the current 290 shares. Any raise, if a band triggers, goes to a **starter-small** allocation only — the court's word — and not to a full slot, because the disposition it reopens is “no divergence,” not “we found one.” Note the tax clock: this lot is short-term until 2027-08-05.

Catalyst dates:

Date	Event	Confirmed?
2026-09-14	JB Long becomes COO and Chief Credit Officer; Kevin Comps hands	CONFIRMED — stated in the 8-K filed 2026-08-28 (SEC EDGAR)

Date	Event	Confirmed?
	off both roles and stays President	
2026-09-15	Our own dated review pack (legacy-book dating)	Internal, confirmed
2026-11-12	Q3 2026 earnings — the print that resolves bands 1, 2 and 3	UNCONFIRMED — data-vendor derived; no company press release names it. Confirm from the investor-relations page before treating it as a date
Mid-November 2026	Q3 10-Q — the filing that carries the residential non-accrual and reserve detail	Follows the print, not separately scheduled

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 13.6 (deck-provisional: Below blue's bear fair value at 14% cost of equity - mandatory re-court, no automatic add)
- filing watch: 10-Q,8-K until 2027-02-26 (deck-provisional: Q3 funding mix: brokered CD share, non-interest-bearing share, and uninsured-deposit percentage - the)
- dated pack NPB-REVIEW|2026-09-15: LEGACY-BOOK DATING (bands-rest-by-default doctrine, applied retroactively 2026-08-05). Orders: BUY 290.0@17.0 USD. LEGACY DATING PASS 08-05:
- dated pack NPB|2026-09-14: NPB: JB Long becomes COO and Chief Credit Officer; Comps hands off both roles, stays President (per 8-K 2026-08-28) (date confirmed=True)
- dated pack NPB|2026-09-15: NPB: Dated internal review pack NPB-REVIEW - legacy-book dating pass (date confirmed=True)
- dated pack NPB|2026-11-12: NPB: Q3 2026 earnings - resolves the funding-mix, residential-credit and gain-on-sale reopen bands; vendor-derived date, no company PR names

What remains unverified

1. **Nothing at the bank level is independently corroborated.** Every credit and funding figure in this deck comes from the company's own filings and slides. The FDIC call reports that would confirm them were unavailable.
2. **The 7.7% uninsured-deposit figure carries the whole funding argument** and appears in the court's summary without a fetched primary citation in either bench's work. It should be traced to the source document before it is relied on again.
3. **Mortgage-purchase yield down 24bp quarter-over-quarter** — asserted as confirmed by one bench, only plausible on the evidence. The prior quarter's figure was never obtained.
4. **The \$25.073M "government-guaranteed" non-accrual figure is unsourced** in the 10-Q; only a ratio was disclosed. Coverage of unguaranteed non-accruals is therefore somewhere

between 17.19% (company) and 22% (red's derivation), and we do not know which.

5. **Share count is unreconciled** — 34.58M vs ~36.0M, a ~4% swing in every per-share figure here.
6. **Short interest is unknown.** We cannot say whether anyone is positioned against the funding structure.
7. **Related-party exposure is unknown.** The proxy table was not read.
8. **The Q3 print date is unconfirmed.**
9. **Average daily volume is unmeasured** this session — irrelevant at 290 shares, relevant if a band ever triggers a raise.
10. **The whole file is 18 months of post-IPO history**, audited without an external attestation on internal controls (the company uses the emerging-growth-company exemption). We are extrapolating a compounding rate from a very short record on a 12x-levered balance sheet.

Primary sources: [10-Q balance sheet \(R2\)](#) · [10-Q income statement \(R4\)](#) · [10-Q loans and reserves \(R11\)](#) · [8-K 2026-08-28, credit-officer appointment](#) · [Form 4, CEO open-market purchase](#) · [Q2 2026 earnings slides](#)

```
{"price_gates": [{"level": 15.0, "direction": "below", "basis": "Blue bench  
bear-case floor 0.89x tangible book; reopen the raise ONLY after  
establishing the cause is not a credit or funding event"}, {"level":  
13.6, "direction": "below", "basis": "Below blue's bear fair value  
at 14% cost of equity – mandatory re-court, no automatic add"},  
{"level": 21.9, "direction": "above", "basis": "Blue's warranted  
1.29x tangible book – if reached before tangible book per share  
grows into it, sell the unearned re-rate"}], "event_gates":  
[{"forms": ["10-Q", "8-K"], "why": "Q3 funding mix: brokered CD  
share, non-interest-bearing share, and uninsured-deposit percentage  
– the 7.7% figure carries the entire funding argument"}, {"forms":  
["10-Q"], "why": "Residential non-accruals as a percent of the  
credit-bearing book (2.69% now) and reserve coverage of unguaranteed  
non-accruals (17.19% now)"}, {"forms": ["10-Q", "8-K"], "why": "Gain  
on sale dollars and mortgage-purchase-program yield quarter-over-  
quarter – the earnings-quality watch"}, {"forms": ["8-K"], "why":  
"Item 5.02 – any further credit-officer or CFO change after the  
2026-09-14 transition"}, {"forms": ["4", "144"], "why": "Whether the  
CEO keeps buying after his $1.33M purchase; any 144 volume breaking  
the ~$365k/quarter estate drip"}, {"forms": ["S-1", "424B4", "S-3"],  
"why": "Any follow-on equity issuance would break the self-funded-  
growth assumption the bull case rests on"}, {"forms": ["DEF 14A",  
"10-K"], "why": "Related-party transaction table – never read; only  
partial visibility into counterparty concentration"}],  
"catalyst_dates": [{"date": "2026-09-14", "what": "JB Long becomes  
COO and Chief Credit Officer; Comps hands off both roles, stays  
President (per 8-K 2026-08-28)", "confirmed": true}, {"date": "2026-  
09-15", "what": "Dated internal review pack NPB-REVIEW – legacy-book  
dating pass", "confirmed": true}, {"date": "2026-11-12", "what": "Q3  
2026 earnings – resolves the funding-mix, residential-credit and  
gain-on-sale reopen bands; vendor-derived date, no company PR names  
it", "confirmed": false}], "immediate_entry": null}
```